

A private blockchain is typically used to expedite and make existing processes more efficient, thereby rewarding the entities that have crafted the software and maintain the computers. In other words, the value creation is in the cost savings, and the entities that own the computers enjoy these savings. The entities don't need to get paid in a native asset as reward for their work, as is the case with public blockchains.

On the other hand, for Bitcoin to incentivize a self-selecting group of global volunteers, known as miners, to deploy capital into the mining machines that validate and secure bitcoin transactions, there needs to be a native asset that can be paid out to the miners for their work. The native asset builds out support for the service from the bottom up in a truly decentralized manner. Public blockchains are not so much databases as they are system architectures spawned from the bottom up to orchestrate the creation of globally decentralized digital services. Over time, miner compensation will shift from the issuance of new bitcoin to transaction fees, and if global adoption is great enough, then transaction fees will be sufficient to sustain miners.

The kernel of belief held by many avid proponents of private blockchains is that the native assets themselves (such as bitcoin) are irrelevant; they can be removed from the architecture and the best parts of the technology can remain intact. For the use cases these people are pursuing, that's true. For public blockchains, however, it's not true. Enterprises that have come to explore blockchain technology from the perspective of how they can use it to update their current